November 12, 2026

Cars24 Financial Services Private Limited: Rating confirmed as final for SNs backed by used car loan receivables issued by Droptail 05 2026

Summary of rating action

Trust name	Instrument*	Initial Rated amount (Rs. crore)	Current Rated amount (Rs. crore)	Rating action	Financial Sector Regulator#
Droptail 05 2026	Series A1 SN	101.34	101.34	[ICRA]A+(SO); provisional rating confirmed as final	RBI

**Instrument details are provided in Annexure I*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

ICRA had assigned provisional rating to the Series A1 securitisation notes (SNs) issued by Droptail 05 2026. The SNs are backed by used car loan receivables originated by Cars24 Financial Services Private Limited (CFSPL/Originator) with an aggregate principal outstanding of Rs. 111.97 crore (pool receivables of Rs. 151.90 crore). CFSPL is also the servicer of the rated transaction.

Further since the executed transaction documents are in line with the other rating conditions and the legal opinion for the transaction has been provided to ICRA, the said rating has now been confirmed as final.

Pool performance summary

Parameter	Droptail 05 2026
Payout month	October 2026
Months post securitisation	4
Pool amortisation	10.5%
Series A1 SN amortisation	13.6%
Cumulative prepayment rate	4.3%
Cumulative collection efficiency[1]	98.4%
Loss-cum-0+ days past due (dpd)[2]	1.0%
Loss-cum-30+ dpd[3]	0.5%
Loss-cum-90+ dpd[4]	0.1%
Cumulative cash collateral utilisation	0.0%

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout and principal payout (90.50% of the pool principal billed) to Series A1 SN. The balance principal (5.50% of the pool principal billed) is expected to be paid on a monthly basis until the maturity of Series A1 SN. Following the maturity of Series A1 SN, the principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date to Series A2 SN. Any surplus EIS, after meeting the promised and expected payouts, will flow back to Series A1 investor on a monthly basis. Any prepayment

[1] (Cumulative current collections and overdue collections)/(Cumulative billings + Opening overdues at the time of securitisation)

[2] Unbilled and overdue principal portion of delinquent contracts as a % of Initial pool principal

[3] Unbilled and overdue principal portion of contracts delinquent for more than 30 days as a % of Initial pool principal

[4] Unbilled and overdue principal portion of contracts delinquent for more than 90 days as a % of Initial pool principal

in the pool would be used for the prepayment of Series A1 SN principal and then to Series A2 SN principal post maturity of Series A1 SN principal. The credit enhancement available in the structure is in the form of (i) a cash collateral (CC) of 6.50% of the initial pool principal, amounting to Rs. 7.28 crore, to be provided by the Originator, (ii) subordination of 9.50% of the initial pool principal (including equity tranche and over-collateral) for Series A1 SN, and (iii) the EIS of 20.63%[5] of the initial pool principal for Series A1 SN.

Key rating drivers and their description

Credit strengths

Granular pool with available credit enhancement – The pool is granular, consisting of 2,626 contracts, with top 10 contracts forming only ~1% of the pool principal, thereby reducing the exposure to any single borrower. Further, the credit enhancement available in the form of the CC, subordination and EIS would absorb some amount of the losses in the pool and provide support in meeting the SN payouts.

No overdue contracts in the pool – The pool has been filtered in such a manner that there are no overdue contracts as on the cut-off date. Further, none of contracts in the total pool have ever been delinquent post loan disbursement, thereby reflecting the borrowers' relatively better credit profile, which is a credit positive.

Healthy bureau score of borrowers – Around 99% of pool has a CIBIL score of 700 and above while none of the contract are new to credit, which reflects their relatively better credit profile**.**

Servicing capability of Originator – The company has adequate processes servicing loan accounts and has demonstrated long track record of regular collections and recovery across a wide geography and multiple economic cycles.

Credit challenges

High geographical concentration – The pool has high geographical concentration with the top 3 states, viz, Maharashtra, Karnataka and Gujarat, contributing ~51% to the initial pool principal amount. The pool's performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc.

Risks associated with lending business – The pool's performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans

Exposed to interest rate risk – The transaction is exposed to interest rate risk as the underlying pool has fixed rate loans, whereas yield on PTCs is floating and is linked to an external benchmark.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during its tenure at 4.75% of the pool principal with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 4.8% to 18% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the

[5]Computed as per turbo structure

incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transaction are as follows:

Transaction Name	Droptail 05 2026
Originator	Cars24 Financial Services Private Limited
Servicer	Cars24 Financial Services Private Limited
Trustee	Catalyst Trusteeship Limited
CC holding bank	ICICI Bank Limited
Collection and payout account bank	ICICI Bank Limited

Liquidity position: Superior

The liquidity for the PTC instrument in the transaction is superior after factoring in the credit enhancement (CE) available to meet the promised payouts to the investors. The total CE would be ~6.50 times[6] the estimated loss in the pool.

Rating sensitivities

Positive factors – The rating could be upgraded on the strong collection performance of the underlying pool (monthly collection efficiency >95%) on a sustained basis, leading to the build-up of the credit enhancement (CE) cover for the remaining payouts.

Negative factors – Pressure on the rating could emerge on the sustained weak collection performance of the underlying pool (monthly collection efficiency <90%) leading to higher-than-expected delinquency levels and CE utilisation levels. Weakening in the credit profile of the servicer could also exert pressure on the rating.

Analytical approach

The rating action is based on the trustee confirming compliance with the terms of the transaction and the executed transaction documents being in line with the terms initially shared with ICRA.

Analytical Approach	Comments
Applicable rating methodologies	Rating Methodology for Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

About the originator

Incorporated in September 2018, Cars24 Financial Services Private Limited (CFSPL), is registered with The Reserve of India (RBI) as a non-banking financial company (NBFC). CFSPL is a wholly owned subsidiary of Cars24 Services Private Limited (Cars 24).

CFSPL is into used vehicle financing business. The company serves as the captive financing unit of its parent and extends funding to customers purchasing cars through Cars 24's online platform. The lending operations of the company are classified into two segments: digital business lending (DBL) and digital retail lending (DRL). DBL represents loans extended to used cars dealers empaneled with Cars 24. This is primarily a revolving line of credit extended to used cars dealers. Currently, CFSPL caters to 538 used car dealers empaneled with Cars24 Services Private Limited. The DBL product is further classified into Unnati regular (revolving credit lines provided based on business relation with Cars 24 and past performance) and Unnati plus (additional credit facility provided to the dealer for purchasing cars from the open market). The DRL product represents the consumer

[6]The liquidity indicator has been revised to Superior from Strong following the revision in CE/ML considering turbo structure of the transaction

financing segment of CFSPL. This product was launched in June 2020 and further scaled up in December 2020. Currently, 60-65% of Cars 24's retail customers avail finance from CFSPL while the rest are largely self-financed.

Key financial indicators (standalone)

CFSPL	FY2023	FY2024*	FY2025	FY2026**
	IGAAP	IndAS	IndAS	IndAS
Total Income	163.60	287.90	316.26	327.30
Profit after Tax	1.60	18.40	6.80	29.23
Assets under Management	1,317	2,178	2,380	2,709
Gross Non-performing Assets (NPA)	0.80%	1.20%	3.03%	1.54%
Net NPA	0.50%	0.60%	1.34%	0.61%
Capital-to-risk weighted asset ratio (CRAR)	90.89%	50.91%	40.67%	45.12%

**Based on the auditor's suggestion, the entire credit enhancement of the PTC transactions has been deducted from the Tier-1 capital as against only FLCE part for CRAR calculation. Hence, CRAR has reduced significantly in FY24 compared to FY23, **Provisional*

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust name	Current rating (FY2027)						Chronology of rating history for the past 3 years		
	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027			Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024
				Nov 12, 2026	June 11, 2026	June 04, 2026	-	-	-
Droptail 05 2026	Series A1 SN	101.34	101.34	**[ICRA]A+(SO)**	**Provisional [ICRA]A+(SO)**	**Provisional [ICRA]A+(SO)**	-	-	-

Complexity level of the rated instrument

Instrument	Complexity Indicator
Series A1 SN	Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: click here

Annexure I: Instrument details

Trust name	Instrument name	Date of Issuance / sanction	Coupon rate (p.a.p.m)	Maturity date	Amount rated (Rs. crore)	Current rating	Financial Sector Regulator#
Droptail 05 2026	Series A1 SN	June 11, 2026	9.35%*	November 14, 2031	101.34	[ICRA]A+(SO)	RBI

*Source: Company; *linked to 3-month MCLR of ICICI Bank*

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Annexure II: List of entities considered for consolidated analysis

Not applicable

ANALYST CONTACTS

Manushree Saggar
+91 124 4545 316
manushrees@icraindia.com

Sachin Joglekar
+91 22 6114 3470
sachin.joglekar@icraindia.com

Anubha Rustagi
+91 22 6114 3400
anubha.rustagi@icraindia.com

Rishi Newalkar
+91 22 6114 3404
rishi.newalkar@icraindia.com

Pratik Vora
+91 22 6114 3438
ratik.vora@icraindia.com

RELATIONSHIP CONTACT

L Shivakumar
+91 22 6114 3406
shivakumar@icraindia.com

MEDIA AND PUBLIC RELATIONS CONTACT

Ms. Naznin Prodhani
Tel: +91 124 4545 860
communications@icraindia.com

HELPLINE FOR BUSINESS QUERIES

+91-9354738909 (open Monday to Friday, from 9:30 am to 6 pm)

info@icraindia.com

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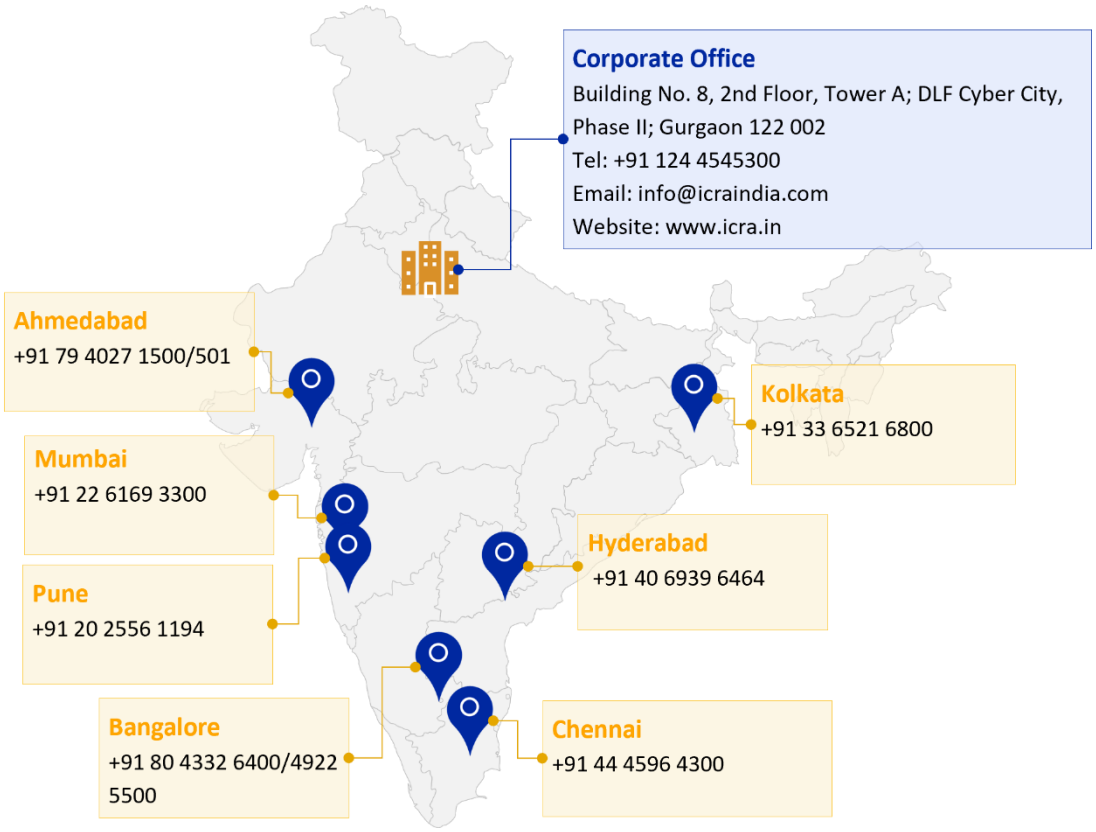
For more information, visit www.icra.in

ICRA Limited

Registered Office

B-710, Statesman House, 148 Barakhamba Road, New Delhi-110001
Tel: +91 11 23357940-45

Branches



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